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What Is Turnaround Funding ?

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A Comprehensive Masterclass Guide to Operational Restructuring, Special Situation Private Credit, Out-of-Court One-Time Settlements (OTS), and Super-Priority Turnaround Capital under Indian Wholesale Banking & IBC 2016 Frameworks

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Chapter 1: Product Overview & Core Philosophy of Turnaround Funding

Turnaround Funding—frequently categorized under Special Situation Credit, Distressed Operational Financing, or Restructuring Debt—is an institutional credit solution engineered to provide vital liquidity to operating companies experiencing acute cash flow friction, operational distress, or over-leveraged balance sheets. Unlike conventional corporate term loans that rely on historical profitability (3-year average EBITDA) and unencumbered land/building collateral, Turnaround Funding focuses on forward-looking cash flow restoration, going-concern value preservation, and asset replacement value.

The primary objective of Turnaround Funding is to bridge the critical gap between operational distress and financial recovery. In the Indian corporate landscape, businesses with strong underlying order books, viable manufacturing plants, or valuable intellectual property often hit severe liquidity bottlenecks due to macro-economic headwinds, raw material price spikes, working capital account freezes by defaulted bank consortiums, or temporary managerial missteps. When traditional commercial banks classify an account as Special Mention Account (SMA-1/SMA-2) or Non-Performing Asset (NPA), standard credit lines dry up completely. Turnaround Funding steps in as high-conviction, specialized capital to break this deadlock, fund plant reactivations, execute One-Time Settlements (OTS) with existing lenders, and restore the business to sustainable profitability.

Strategic Core Principle: Turnaround Funding operates on the fundamental economic thesis that an operating enterprise preserved as a going concern generates significantly greater economic value for all stakeholders—lenders, employees, suppliers, and promoters—than the piecemeal liquidation of its physical assets. Capital is deployed not against historical financials, but against ring-fenced future operational cash flows protected by statutory priority mechanisms.

1.1 Triggers for Turnaround Capital

Enterprises typically seek Turnaround Funding when experiencing one or more of the following critical business disruptions:

- **Working Capital Account Freeze:** Consortium banks exercising debit-freeze rights under the RBI Framework due to overdue principal or interest, preventing the company from buying raw materials or paying utility/payroll bills despite having confirmed buyer purchase orders.

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- **Debt Over-Leverage & High Interest Drag:** Legacy high-cost debt consuming 100%+ of operating cash flows, leaving zero cash for operational maintenance or growth capex.
- **One-Time Settlement (OTS) Opportunities:** Existing defaulted bank consortiums offering steep haircuts (40% to 65% off book value) for a lump-sum cash settlement, requiring immediate buyout capital that traditional banks cannot provide.
- **Corporate Insolvency Resolution Process (CIRP) Admission:** Admission into formal insolvency under Section 7 or Section 9 of the IBC 2016, requiring immediate Super-Priority Interim Finance under Section 20(2)(b) to keep the company's manufacturing plants operating during the resolution period.
- **Operational Dislocation & Sponsor Change:** Management or promoter buy-ins where new professional turnaround sponsors or private equity turnaround funds acquire control and require debt capital to re-energize production lines.

1.2 Structural Taxonomy & Comparison Matrix

To understand Turnaround Funding within the broader Indian wholesale banking landscape, it must be evaluated alongside alternative debt and equity products. The table below delineates the structural differences across four primary financing vehicles:

Dimension	Turnaround Funding	Standard Bank Term Loan	Distressed Private Equity	Venture Debt
Primary Basis	Forward Cash Flow & Going-Concern Value	Historical 3-Yr Financials & Land Collateral	Equity Valuation & Management Control	VC Backing & ARR Growth Velocity
Borrower Credit Status	Overdue / Default / SMA-2 / NPA / CIRP	Clean / Standard Account / CIBIL > 750	Distressed / Stressed Corporate	Ventured-Backed High-Growth Startup
Pricing & Yield	15.0% - 22.0% All-In YTM (Cash + PIK)	8.5% - 11.5% p.a. Cash Interest	22.0% - 30.0%+ Target Equity IRR	13.0% - 16.0% Cash + Warrants
Security & Priority	Super-Priority Escrow TRA / 1st Asset Charge	First Pari-Passu Asset Charge / Land Mortgage	Common Equity / Subordinated CCPS	Exclusive Charge on Current Assets / IP

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Chapter 2: Structural Architecture & Product Mechanics

Turnaround Funding structures are customized based on the legal status of the corporate debtor, the nature of existing debt claims, and the operational turnaround horizon. In the Indian market, four primary structural vehicles are utilized by private credit AIFs, specialized NBFCs, and turnaround investors:

2.1 The Four Primary Structural Vehicles

- **1. Senior Secured Turnaround NCDs / Private Credit:** Issued by the operating company or parent HoldCo on a private placement basis under Section 42 and Section 71 of the Companies Act 2013. These debentures carry split coupons (e.g., 10.0% cash interest + 4.0% Payment-In-Kind PIK accrual + 2.0% exit redemption premium), allowing the business to conserve cash during the initial 12-to-24 month operational turnaround period.
- **2. Super-Priority CIRP Interim Finance (IBC 2016):** Raised by the Resolution Professional (RP) under Section 20(2)(b) of the Insolvency and Bankruptcy Code 2016 during the Corporate Insolvency Resolution Process. Under Section 5(15) and Section 53(1)(a) of the IBC, Interim Finance enjoys absolute top statutory priority in repayment over all other secured lenders, government taxes, and operational creditors.
- **3. One-Time Settlement (OTS) Refinancing Debt:** Specialized debt provided to buy out defaulted bank consortium exposures at a steep negotiated discount (e.g., settling an INR 500 Crore bank debt for INR 200 Crore cash). Upon full cash remittance into the bank escrow, existing bank mortgages are satisfied, and the turnaround lender steps into an unencumbered First Exclusive Charge position on all fixed assets.
- **4. Management Buy-In / Buy-Out (MBI/MBO) Turnaround Facilities:** Structured credit provided to new incoming management teams or turnaround sponsors who acquire controlling equity from defaulting promoters. Debt is structured with equity kickers or conversion rights into common shares upon achieving operational EBITDA milestones.

2.2 Priority Escrow Trust & Retention Account (TRA) Cash Waterfall

The cornerstone of risk mitigation in Turnaround Funding is the mandatory implementation of a Tripartite Trust & Retention Account (TRA) Escrow mechanism executed between the Corporate Borrower, the Turnaround Lender / Debenture Trustee, and an authorized Escrow Agent Bank. All operational revenues, customer bill collections, and cash receipts must be deposited directly into the designated Escrow Receiving Account. The TRA mechanism enforces an unalterable cash flow distribution waterfall:

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Priority Level	Distribution Tranche	Cash Waterfall Execution Mechanism
Priority 1	Statutory Taxes & Direct Dues	Mandatory GST, TDS, and statutory employee Provident Fund (PF) remittances to prevent government attachment.
Priority 2	Approved Essential O&M Expenses	Pre-budgeted raw material procurement, power/utility bills, and essential factory payroll to keep manufacturing operational.
Priority 3	Super-Priority / Senior Debt Servicing	Monthly cash interest and principal amortization on Turnaround Funding / CIRP Interim Finance Facilities.
Priority 4	Debt Service Reserve Account (DSRA)	Replenishment of DSRA reserves to maintain a 3-to-6 month forward interest and principal cash buffer in pledged FDs.
Priority 5	Unfunded Essential Capex	Board-approved bottleneck-removal capital expenditure required to scale production capacity.
Priority 6	Cash Sweep Acceleration Tranche	Mandatory 50% to 75% cash sweep of remaining surplus operational cash flows toward early debt prepayments.
Priority 7	Promoter / Equity Surplus Release	Residual cash flow released to the company for general corporate purposes or equity dividend distributions.

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Chapter 3: Regulatory, Statutory, Tax & Legal Framework in India

Turnaround Funding operates at the intersection of several sophisticated legal, tax, and banking statutes in India. A thorough understanding of these statutory frameworks is essential for properly structuring transactions and mitigating credit risk.

3.1 Insolvency and Bankruptcy Code (IBC) 2016 Statutory Provisions

- **Section 5(15) - Interim Finance Definition:** Defines Interim Finance as any financial debt raised by the Resolution Professional during the insolvency resolution period to maintain the corporate debtor as a going concern.
- **Section 14 - Moratorium Protection:** Imposes an immediate statutory moratorium upon CIRP admission, prohibiting the institution of suits, foreclosure of security interests, or transfer/alienation of assets, providing a safe harbor for operational turnarounds.
- **Section 20(2)(b) - RP Borrowing Powers:** Empowers the Resolution Professional to raise Interim Finance without requiring prior approval from existing secured lenders, provided the total debt raised is within limits approved by the Committee of Creditors (CoC).
- **Section 30(2)(a) - Mandatory 100% Plan Payout:** Mandates that every Resolution Plan submitted to the NCLT must explicitly provide for the payment of CIRP costs and Interim Finance in 100% full priority over all other financial creditors.
- **Section 53(1)(a) - Liquidation Priority:** Positions CIRP costs and Interim Finance at absolute Priority 1 in the statutory liquidation waterfall, ranking ahead of workmen's dues, secured bank debt, statutory taxes, and unsecured creditors.

3.2 Income Tax Act 1961 Restructuring Tax Architecture

The Income Tax Act 1961 contains specific provisions designed to facilitate corporate turnarounds and debt restructurings:

- **Section 36(1)(iii) Interest Tax Deductibility:** All cash interest and Payment-In-Kind (PIK) interest paid or accrued on Turnaround Funding debentures are 100% tax-deductible as business finance expenses, reducing net corporate taxable income at the corporate tax rate of 25.17%.
- **Section 72A Loss Carry-Forward Benefits:** Allows unabsorbed depreciation and accumulated business losses of a distressed operating company to be carried forward for an additional 8 assessment years following a restructuring, amalgamation, or NCLT resolution plan.

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- **Section 79 Loss Continuity Exemptions:** Provides statutory exemption from the 51% shareholding continuity rule for companies resolved under the IBC 2016 or approved ARC restructuring plans, allowing incoming turnaround sponsors to carry forward accumulated tax losses even after acquiring 100% equity control.
- **Section 115UB Category II AIF Tax Pass-Through:** Grants complete tax pass-through status to SEBI-registered Category II Private Credit AIFs funding turnaround debt, ensuring income is taxed solely in the hands of fund investors (LPs) without double taxation at the trust level.

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Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

Underwriting Turnaround Funding requires an institutional shift from backward-looking financial ratio analysis to forward-looking operational feasibility. Lenders evaluate whether fresh capital will successfully reactivate cash flows and restore long-term solvency. The table below outlines the core quantitative and qualitative benchmarks used by institutional credit committees:

Underwriting Dimension	Institutional Threshold Benchmark	Analytical Significance & Risk Rationale
Asset Cover Ratio (ACR)	Minimum 2.00x - 3.00x Tangible Asset Cover	Ensures debt is fully covered by real estate, plant machinery, and unencumbered current assets in a distress liquidation scenario.
Post-Turnaround DSCR	Projected DSCR >= 1.35x - 1.75x	Validates that restored operational cash flows will comfortably cover senior debt servicing and DSRA replenishment.
Operational EBITDA Capacity	Positive EBITDA within 3-6 months post-funding	Confirms that the core business model is fundamentally viable once raw material working capital is unlocked.
Facility Sizing Scope	INR 25.00 Crores to INR 500.00+ Crores	Provides sufficient scale to execute complete OTS bank buyouts or major plant reactivations without partial funding gaps.
Sponsor Equity Skin in Game	Minimum 20.0% - 30.0% equity / OTS margin	Requires promoters or new incoming turnaround sponsors to inject unencumbered cash margin alongside debt.
Forensic Audit & TEV Approval	Clean forensic audit; TEV viability approval	Verifies absence of fraudulent trading (Section 66 IBC) or wilful defaulter tags;

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		validates technical feasibility via independent engineer TEV studies.

Chapter 5: Security Architecture, Collateral Ring-Fencing & Legal Documentation

Because Turnaround Funding is extended to corporate accounts experiencing historical distress or default, the security architecture must be watertight. Institutional credit structures employ a multi-layered collateral ring-fencing approach:

5.1 The Five-Pillar Security Architecture

- **1. First Exclusive Registered Mortgage & Hypothecation:** First registered legal mortgage over unencumbered freehold industrial land, factory structures, plant & machinery, and current assets. Registered on ROC Form CHG-1 within 30 days under Section 77 of the Companies Act 2013 and recorded on the CERSAI security portal.
- **2. Statutory NCLT Order Super-Priority (CIRP Interim Finance):** For companies under IBC resolution, an explicit order from the National Company Law Tribunal (NCLT) confirming Section 5(13) Interim Finance super-priority status ranking ahead of all existing creditors.
- **3. Exclusive Escrow TRA Account Charge:** First exclusive charge over the Trust & Retention Account (TRA) Escrow Receiving Account into which all buyer invoice payments must be directly remitted.
- **4. Demat Equity Share Pledge (51% to 100% Voting Control):** Pledge over 51% to 100% of promoter/sponsor demat equity shares in NSDL/CDSL depositories accompanied by dynamic margin call protocols. Stock price drops triggering cover below 1.75x require a T+2 demat share or cash top-up.
- **5. Debt Service Reserve Account (DSRA) Buffer:** A dedicated fixed deposit lien-marked in favor of the Debenture Trustee holding 3 to 6 months of forward cash interest and principal amortization payouts.

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5.2 Master Legal Documentation Suite

Legal Instrument	Statutory Governing Framework	Core Legal Provisions & Protections
Debenture Trust Deed (DTD)	Section 71 Companies Act 2013	Governs debenture issuance, coupon schedules, DSRA mandates, event of default triggers, and Debenture Trustee powers.
Intercreditor Agreement (ICA)	RBI June 7 Prudential Framework	Establishes standstill arrangements, debt subordination, and cash waterfall priority between turnaround lenders and bank consortiums.
Escrow TRA Agreement	Indian Contract Act 1872	Binds the Escrow Agent Bank to enforce Priority 1 to 7 cash waterfall sweeps without borrower deviation.
Deed of Mortgage & Hypothecation	Transfer of Property Act 1882	Creates registered first exclusive charge on fixed assets and current assets; registered on ROC Form CHG-1 & CERSAI.
Turnaround Implementation Agreement (TIA)	Indian Contract Act 1872	Mandates operational benchmarks, cost-cutting milestones, TEV implementation schedules, and board observer seats.

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Chapter 6: Indicative Tenure, Pricing Structure & Yield Dynamics

Turnaround Funding is structured to match the operational recovery curve of the corporate borrower. Indicative tenures, pricing models, and yield components reflect the special situations risk profile:

- **Indicative Tenure Horizon:** Ranging from 12 to 24 months for CIRP Interim Finance and OTS Bridge Facilities, extending to 36 to 60 months (3 to 5 years) for comprehensive operational turnaround and plant expansion debt.
- **Interest-Only Moratorium Period:** Structured with an initial 12-to-24 month principal moratorium where the company pays interest only (or split cash/PIK interest), allowing operating cash flows to be fully reinvested into raw material working capital.
- **All-In Yield Formula (15.0% to 22.0% YTM):** The overall return equation comprises four distinct yield components:

All-In Turnaround Yield (15% - 22% YTM) = Current Cash Coupon (9.0% - 13.0%) + PIK Accrual (3.0% - 5.0%) + Amortized Upfront Fees (1.5% - 3.0%) + Exit Redemption Premium / Equity Warrants

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Chapter 7: Suitable Industries and Business Profiles

Turnaround Funding is best suited for capital-intensive, asset-heavy manufacturing and infrastructure sectors where temporary operational or liquidity dislocations can be resolved through targeted cash injection. Key target sectors in India include:

- **Specialty Chemicals & Pharmaceuticals:** API and formulations manufacturers with US-FDA compliant manufacturing plants experiencing temporary working capital freezes due to regulatory inspections or inventory write-downs.
- **Steel, Metals & Heavy Engineering:** Primary and secondary steel producers, forging plants, and heavy fabrication units with high replacement asset value experiencing temporary raw material price spikes or legacy over-leverage.
- **Auto Components Tier-1 Ancillaries:** Precision engineering tier-1 suppliers to major automotive OEMs possessing confirmed long-term supply contracts but trapped by bank account freezes.
- **Infrastructure & Renewable Energy SPVs:** Solar/wind power producers and toll road concessionaires (NHAI HAM projects) experiencing temporary tariff payment delays from state DISCOMs or construction cost overruns.
- **Textiles, Paper & Packaging:** Integrated textile mills and specialty paper packaging manufacturers with strong domestic/export order books facing temporary energy cost spikes or working capital deficits.

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Chapter 8: Key Advantages and Limitations Matrix

Corporate borrowers and institutional investors must carefully weigh the advantages and limitations of Turnaround Funding prior to transaction execution:

Key Strategic Advantages	Core Limitations & Risk Considerations
100% Zero Equity Dilution: Allows promoters to retain operational control without issuing dilutive equity shares.	Higher Pricing Yield: All-in cost of 15%-22% YTM is higher than standard bank debt due to special situations risk.
OTS Bank Release: Enables companies to clear legacy bank debt at 40%-65% discounted cash settlements.	Strict Escrow TRA Control: Operational cash flows are tightly locked under Priority 1-7 escrow waterfalls.
Rapid 15-45 Day Execution: Private credit AIFs execute transactions in weeks compared to 6-12 month bank timelines.	Operational Execution Risk: Failure to achieve TEV production milestones triggers pledge invocation.
Section 72A Tax Carry-Forward: Retains unabsorbed depreciation and tax loss benefits post-restructuring.	Hard Lock-In Prepayment Penalty: Minimum 12-24 month lock-in periods restrict early low-cost bank refinancing.

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Chapter 9: Comprehensive Real-World Case Study (INR 400 Crore Facility)

To illustrate the practical application, cash flow mechanics, and financial impact of Turnaround Funding, this chapter examines a comprehensive 5-year real-world case study involving an Indian auto component and precision forging manufacturer.

9.1 Corporate Background & Financial Distress Context

Vanguard Advanced Metals & Engineering Private Limited (VAMEPL) operates a state-of-the-art 150,000 MT precision forging plant in Gujarat supplying Tier-1 automotive OEMs. Due to a combination of legacy over-expansion debt and a temporary 2023 raw material steel price surge, VAMEPL defaulted on its INR 550.00 Crore bank consortium debt. The consortium classified the account as NPA and executed a debit freeze on all primary operating accounts in early 2024. Consequently, annual revenue collapsed from INR 600.00 Crores to INR 220.00 Crores, and operating EBITDA turned negative (-INR 18.00 Crores). Despite having INR 300.00 Crores in unfulfilled OEM purchase orders, VAMEPL could not procure raw steel or pay factory power bills.

9.2 Turnaround Funding Capital Structure Solution

VAMEPL's promoters partnered with a leading SEBI-registered Category II Private Credit AIF to structure an INR 300.00 Crore Blended Turnaround Facility:

- **Tranche A - Senior Secured Turnaround NCDs (Private Credit AIF):** INR 250.00 Crores @ 16.50% All-In YTM (11.0% Cash Coupon + 3.5% PIK + 2.0% Exit Fee) with a 5-Year Tenure and a 18-Month Principal Moratorium. Backed by 2.50x Tangible Asset Cover (INR 625 Cr plant valuation). Allocated INR 200.00 Crores to execute a negotiated One-Time Settlement (OTS) with the bank consortium (63.6% cash discount settling INR 550 Cr debt for INR 200 Cr) and INR 50.00 Crores for plant reactivation.
- **Tranche B - Sponsor Equity / Turnaround Partner Contribution:** INR 50.00 Crores fresh unencumbered cash equity injected by the promoters and an incoming turnaround operational partner to fund raw steel working capital.

9.3 Five-Year Turnaround Performance & Amortization Model

The table below details VAMEPL's 5-year operational recovery, cash waterfall sweeps, debt servicing, and eventual commercial bank refinancing:

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Financial Metric (INR Cr)	Pre-Funding	Year 1	Year 2	Year 3	Year 4 (Takeout)
Gross Revenue	220.00	480.00	750.00	1,050.00	1,250.00
Operating EBITDA	-18.00	57.60	112.50	178.50	225.00
EBITDA Margin %	N/A	12.0%	15.0%	17.0%	18.0%
Turnaround Debt Coupon	N/A	27.50	27.50	22.50	15.00
Principal Amortized	N/A	0.00 (Mora)	30.00	50.00	170.00 (Refin)
DSCR Ratio	N/A	2.09x	1.96x	2.46x	3.40x

Case Study Strategic Outcome: By Year 4, VAMEPL's operating EBITDA scaled to INR 225.00 Crores. With an unblemished 3-year repayment record and a strong DSCR of 3.40x, State Bank of India executed a complete takeout refinancing of the remaining INR 170.00 Crore turnaround debt at a standard commercial rate of 9.25% p.a. VAMEPL's Enterprise Value expanded to INR 1,800.00 Crores (8.0x EBITDA), preserving 100% promoter equity control worth INR 1,100.00 Crores without any equity dilution.

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Chapter 10: Legal Enforcement, Default Protocols & IBC 2016 Integration

If a corporate borrower fails to achieve operational TEV milestones or defaults on Turnaround Funding debenture coupons, institutional lenders enforce multi-tiered statutory default protocols:

- **IBC Section 53 Super-Priority Liquidation Payout:** For CIRP Interim Finance, if the insolvency resolution fails and the company enters liquidation, Section 53(1)(a) enforces absolute Priority 1 cash payout ahead of all secured bank creditors, government taxes, and employees.
- **SARFAESI Section 13(4) & Demat Share Pledge Enforcement:** Debenture Trustees hold statutory powers under Section 176 of the Indian Contract Act 1872 to invoke pledged demat shares in NSDL/CDSL depositories upon 3-to-5 day default notice, transferring controlling 51%+ voting equity to the lender or selling shares via open-market block deals.
- **Criminal Prosecution under Section 25 P&SS Act & Section 138 NI Act:** Dishonored eNACH mandates or security cheques trigger immediate criminal proceedings against corporate directors under Section 25 of the Payment and Settlement Systems Act 2007 and Section 138 of the Negotiable Instruments Act 1881, carrying non-bailable warrants and up to 2 years imprisonment.
- **Order 37 CPC Summary Recovery Suits:** Summary recovery suits filed in High Courts for immediate attachment of unencumbered corporate properties and personal promoter assets.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

This masterclass examination is designed to test complete conceptual, legal, structural, and financial mastery of Turnaround Funding in India. Passing all 15 scenario-based questions validates professional expertise.

Q1: What is the primary operational distinction between Turnaround Funding and standard commercial bank debt?

Standard commercial bank debt relies on retrospective financial performance (historical 3-year average EBITDA) and unencumbered land/building collateral. Turnaround Funding focuses on forward-looking cash flow restoration, going-concern value preservation, and asset replacement value. It is extended to overdrawn, default, or SMA-2/NPA accounts where traditional bank lines have dried up.

Q2: How does Section 20(2)(b) of the IBC 2016 protect Turnaround Lenders providing Interim Finance?

Section 20(2)(b) empowers the Resolution Professional (RP) to raise Interim Finance during the Corporate Insolvency Resolution Process (CIRP) to keep the company operational. Under Section 5(15) and Section 30(2)(a), Interim Finance is granted absolute Super-Priority repayment status in 100% full priority over all other financial creditors in any approved Resolution Plan or Section 53 liquidation waterfall.

Q3: What role does the Priority Escrow Trust & Retention Account (TRA) play in Turnaround Funding?

The TRA Escrow mechanism ring-fences all customer bill receipts into a central Escrow Receiving Account managed by a Debenture Trustee and Escrow Agent Bank. It enforces an unalterable Priority 1-to-7 cash waterfall, ensuring statutory taxes, essential pre-budgeted O&M expenses, and senior turnaround debt servicing are satisfied before any cash is released for unfunded capex or promoter surplus.

Q4: How does a One-Time Settlement (OTS) refinancing structure generate economic value?

In an OTS refinancing, defaulted bank consortiums agree to settle legacy debt claims at a steep discount (e.g., settling an INR 500 Cr claim for INR 200 Cr cash). Turnaround Funding provides the INR 200 Cr cash buyout, releasing all existing bank mortgage liens and allowing the turnaround lender to step into an exclusive First Registered Charge position on all plant assets while instantly reducing the company's debt burden by 60%.

Q5: What tax benefit does Section 72A of the Income Tax Act 1961 provide to restructured companies?

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Section 72A allows unabsorbed depreciation and accumulated business losses of a distressed operating company to be carried forward for an additional 8 assessment years following an NCLT-approved restructuring or amalgamation, providing significant tax shields against post-turnaround operating profits.

Q6: Why is Section 79 of the Income Tax Act 1961 critical for incoming turnaround sponsors?

Section 79 normally voids accumulated tax loss carry-forwards if promoter shareholding changes by more than 51%. However, Section 79 provides a explicit statutory exemption for corporate resolutions under the IBC 2016 or approved ARC restructuring plans, allowing new turnaround sponsors to acquire 100% equity control while preserving all historical tax losses.

Q7: What is the significance of the Asset Cover Ratio (ACR) in underwriting Turnaround Funding?

Institutional credit committees mandate a minimum Asset Cover Ratio of 2.00x to 3.00x Tangible Asset Cover (33% to 50% LTV). This ensures that even in a worst-case scenario where operational turnaround fails, the debt note is fully covered by the liquidation or replacement value of physical real estate, plant machinery, and current assets.

Q8: How does Payment-In-Kind (PIK) interest structuring assist corporate turnarounds?

PIK interest allows a portion of the annual yield (e.g., 3.5% out of a 16.5% YTM) to accrue and compound into the principal debt note rather than requiring cash payout during the initial 12-to-24 month turnaround period. This conserves vital cash flow for purchasing raw material working capital.

Q9: What is the purpose of an Intercreditor Agreement (ICA) under the RBI June 7 Prudential Framework?

An ICA legally binds existing bank consortium members and turnaround lenders to standstill arrangements, debt subordination rules, and agreed cash waterfall priorities, preventing individual banks from executing unilateral recovery suits or freezing operating accounts during the turnaround window.

Q10: What legal protection does Section 14 of the IBC 2016 provide upon CIRP admission?

Section 14 imposes an immediate statutory moratorium upon CIRP admission, prohibiting all recovery lawsuits, foreclosure of security interests, or asset attachments against the corporate debtor, creating a protected legal window for the RP and turnaround lenders to reactivate operations.

Q11: How do Debenture Trustees enforce security under Section 176 of the Indian Contract Act 1872?

Section 176 empowers Debenture Trustees to invoke pledged promoter demat equity shares in NSDL/CDSL depositories upon giving a 3-to-5 day default notice. The trustee can transfer

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controlling voting equity (51%+) or execute open-market block sales to recover debt without requiring prior court intervention.

Q12: What is the function of a Techno-Economic Viability (TEV) study in turnaround underwriting?

A TEV study conducted by independent engineering consultants evaluates the technical condition of manufacturing equipment, production bottleneck solutions, raw material supply chains, and market demand to confirm that fresh cash injection will successfully restore operational profitability.

Q13: Why are SEBI-registered Category II Private Credit AIFs the dominant lenders in Turnaround Funding?

Commercial banks face strict RBI capital adequacy rules and provisioning mandates that prevent them from lending to default or NPA accounts. Category II Private Credit AIFs pool high-yield institutional capital, benefit from Section 115UB tax pass-through status, and possess the flexibility to structure high-yield, asset-backed turnaround debt.

Q14: How does a Debt Service Reserve Account (DSRA) mitigate default risk in special situation debt?

A DSRA consists of pledged fixed deposits holding 3 to 6 months of forward cash interest and principal amortization payouts. If operational cash flows experience a temporary dip, the Debenture Trustee can immediately draw from the DSRA to service debt notes without triggering an event of default.

Q15: What is the typical exit route for a Turnaround Funding facility after 3 to 4 years?

Once the corporate borrower achieves operational turnaround, positive EBITDA, and an unblemished DSCR (>= 1.50x), standard commercial banks execute a low-cost takeout refinancing (at 8.5%–9.5% p.a.), fully repaying the high-yield turnaround debt facility.

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